

Industrial Court Case Summaries

Scenario 4: Performance Improvement and Constructive Dismissal Risk

Jurisdiction: Malaysia only. Prepared for NotebookLM RAG demonstration.

OUTCOME: EMPLOYER WON

Syed Mohd Azinuddin bin Syed Azmi v Petroliam Nasional Berhad

Industrial Court Award No. 667 of 2026

Background

The Claimant was an Executive employed since 2007. He received sustained low performance ratings (rated '3L' meaning 'Partially Met Expectations') over several consecutive years. PETRONAS offered him a voluntary separation scheme, which he declined. The company then placed him on a first Performance Improvement Plan (PIP) in 2020. Despite completing the first PIP, he continued to receive a '3L' rating. A second PIP was issued from June 2021 to November 2021. During this period, the company deployed additional Technical Professionals and Commissioning Engineers to support the Claimant and conducted monthly performance reviews. The Claimant had specifically requested a full-time assignment on a particular project, which the company granted. Despite this, his deliverables remained incomplete at critical milestones. His employment was terminated on 16 March 2022. He filed a claim for unfair dismissal under Section 20 of the Industrial Relations Act 1967.

Court Findings

The Industrial Court held that PETRONAS had acted with just cause and excuse. Key findings were as follows. First, the Claimant was fully aware of the significance of the '3L' rating and had acknowledged under cross-examination that it was among the lowest ratings and a precursor to potential termination. Second, he had never lodged a grievance regarding his low ratings during his employment, and his challenge to those ratings after dismissal was treated as a belated afterthought. Third, the company had provided a comprehensive support ecosystem including mentoring, coaching, technical assistance, and monthly reviews. Fourth, the Claimant had conceded during cross-examination that he had been given sufficient support to achieve the targets under the Second PIP. The Court emphasised that an employer is the best judge of its own performance standards, and once consistent underperformance has been documented and a fair opportunity to improve has been provided, the employer is justified in terminating an employee who fails to meet the required standards.

Key Takeaway for HR Practitioners

Contemporaneous documentation is the employer's strongest defence. Monthly Performance Records (MPRs), coaching notes, and documented management interventions were the foundation of PETRONAS's successful case. Structured, well-evidenced PIPs conducted in good faith will be upheld by the Industrial Court.

Risk Flags

None identified against the employer in this case. The Claimant's failure to raise grievances during his employment significantly weakened his position.

OUTCOME: EMPLOYER WON

Kevin Power v MISC Berhad

Industrial Court Award No. 480 of 2026

Background

The Claimant was a Project Director who was placed on a PIP in April 2022 following a performance rating of '3 Low (Partially Met Expectations)' for the appraisal year 2021. The PIP ran until September 2022. During the PIP period, the Claimant did not raise any grievances through the company's grievance mechanisms. In June 2022, he was assigned to an international posting in China, effective July 2022, subject to receipt of a work permit. The work permit was not obtained, and the international posting was cancelled. The Claimant subsequently requested a mutual separation package. Before the company could respond, he wrote to the company in October 2022 claiming that the PIP was conducted in bad faith, that his international posting had been abruptly cancelled, and that he had been constructively dismissed. His monetary demand against the company exceeded RM1.5 million.

Court Findings

The Industrial Court dismissed the claim. The Court found that neither the PIP nor the recall from the international posting constituted a fundamental breach of contract. Placement on a PIP and management of international assignments both fell within the company's contractual and managerial prerogative. The Court reiterated that the threshold for constructive dismissal is high: there must be a fundamental breach going to the root of the contract. Mere dissatisfaction with the employer's decisions does not meet this threshold. The Court also noted that the Claimant had not disputed his PIP placement in April 2022 and had cooperated with the process throughout. His performance issues were substantiated by documented low ratings, his participation in the PIP, and his own acknowledged areas of shortcoming within the PIP documentation.

Key Takeaway for HR Practitioners

A PIP placed on an employee who has not raised contemporaneous objections is very difficult to later characterise as bad faith or constructive dismissal. The absence of grievances during the PIP period is treated by the Court as evidence that the employer's process was not fundamentally unfair.

Risk Flags

Employers must ensure the PIP is accompanied by written communication of consequences for failure. Cancellation of benefits such as international postings during a PIP period should be documented as a business or operational decision unrelated to the PIP itself.

OUTCOME: EMPLOYER WON

Engku Aznita Engku Hamzah v SME Bank (M) Bhd

Industrial Court Award No. 152 of 2025

Background

The Claimant was a senior human resource executive. In February 2020 she was suspended for two weeks pending investigation of a customer complaint. She was later informed informally by the Head of Audit that the investigation had been closed, although no formal written closure was issued. In March 2020, she received a performance rating of 2.00 (unsatisfactory) for the year 2019, and was placed on a three-month PIP starting April 2020. The PIP was subsequently extended for a further three months. The Claimant later alleged she had been coerced into accepting the extension. In August 2020, approximately four months after being informally told the investigation was closed and one month after being notified of the PIP extension, she resigned and claimed constructive dismissal.

Court Findings

The Industrial Court dismissed the claim. The Court accepted the Bank's position on two grounds. First, an employer has the right to assess employee performance provided it is done fairly and in accordance with internal policies. The Bank's decision to extend the PIP was made in line with its policies and within its management prerogative. Second, the Claimant had accepted the terms of the extended PIP without protest and had been given opportunities to improve her performance. The Court held that mere dissatisfaction with performance management processes, including the extension of a PIP period, does not entitle an employee to treat herself as constructively dismissed, particularly when the employer's policies permit such an extension.

Key Takeaway for HR Practitioners

Employers should have a clearly documented performance monitoring policy that expressly permits PIP extensions. Transparency in communication, even when formal letters are not issued, reduces the risk of bad faith allegations. Employees who accept PIP terms without protest lose significant ground in subsequent constructive dismissal claims.

Risk Flags

The failure to issue a formal written closure of the investigation was noted by the Court. While it did not affect the outcome, employers are advised to formalise investigation closures in writing to remove any ambiguity that an employee might later rely upon.

OUTCOME: EMPLOYER LOST

Tung Yoke Leng v Maxis Broadband Sdn Bhd

High-profile Industrial Court award (reported in Free Malaysia Today)

Background

The Claimant had 25 years of service with the company and a consistently strong performance record prior to the dispute. She was placed on a Performance Improvement Plan (PIP) following which her employment was terminated. She argued that the PIP process was fundamentally unfair: performance issues from one review period were carried forward into the next without being resolved, she was assigned inexperienced support staff who could not adequately assist her in meeting her targets, and she was never warned that failure to meet the PIP objectives could result in termination. The Claimant challenged the dismissal at the Industrial Court.

Court Findings

The Industrial Court ruled in the Claimant's favour. The Court found that Maxis Broadband Sdn Bhd had failed to provide a satisfactory justification for the dismissal. The total award was RM1,036,640, comprising RM416,640 in back wages (after a 30% deduction for post-dismissal earnings) and RM620,000 as compensation in lieu of reinstatement. The Court's findings reflected the following failures by the employer: the PIP lacked procedural integrity as issues were recycled rather than resolved; the employee was not provided with the quality of support necessary to genuinely improve; and critically, the employee was never informed that termination was a potential consequence of failing the PIP.

Key Takeaway for HR Practitioners

Three specific failures caused the employer to lose this case. First, carrying performance issues forward between review cycles without resolution is treated as evidence that the PIP is not genuine. Second, assigning inadequate support undermines the employer's claim of good faith. Third, failure to warn the employee of termination as a consequence of PIP failure is a critical procedural gap that the Industrial Court will treat very seriously.

Risk Flags

This case is a direct warning against using a PIP as an administrative tool to build a paper trail for a predetermined exit. Every element of the PIP must demonstrate a genuine intention to help the employee improve. The absence of a written consequence clause in the PIP documentation is extremely high risk.

OUTCOME: EMPLOYER LOST

Thomas Kuruvilla v Malaysia Digital Economy Corporation Sdn Bhd

Industrial Court Award No. 151 of 2021

Background

The Claimant had been with MDEC for 10 years and had no prior performance issues during that period. Following the appointment of a new Chief Executive Officer, a reorganisation exercise was carried out. The Claimant was transferred to multiple new divisions and departments in succession, each time being placed in roles with functions unrelated to his previous experience. He was given KPIs that did not align with his skills or background and received insufficient guidance to meet them. He was then placed on PIPs and eventually dismissed on the grounds of poor performance. He filed a claim for unfair dismissal, arguing that he was not a genuine poor performer and had been victimised following the leadership change.

Court Findings

The Industrial Court found in favour of the Claimant. The Court stated that performance managers have a duty to ensure employees under their supervision are given adequate support and supervision to achieve their deliverables and KPIs. It held that placing a well-performing employee in a new setting without adequate support, and thereafter using the resulting underperformance as grounds for dismissal, did not reflect fair labour practice. The Court observed that constant transfers and changes in function placed the Claimant in a continuous state of confusion and difficulty that would inevitably cause deterioration in performance and efficiency. The Court concluded that the company had failed to prove just cause for the termination. The Claimant was awarded RM474,166.67 comprising 24 months' back wages (less 10% for post-dismissal earnings and less termination benefits already paid) plus two months' salary as compensation in lieu of reinstatement.

Key Takeaway for HR Practitioners

Transferring an employee to unfamiliar roles without support, and then using the resulting performance drop to justify a PIP and eventual dismissal, is a pattern the Industrial Court recognises and will not accept. The Court will look at the totality of what led to the performance issue, not merely the documented KPI failure.

Risk Flags

This case is particularly relevant in reorganisation or post-merger scenarios. Any restructuring that results in role changes must be accompanied by proper onboarding, transition support, and revised, reasonable KPIs. Failure to do so creates significant constructive dismissal and unfair dismissal risk.

OUTCOME: EMPLOYER LOST

Felicia Aping Laing v Ericsson (Malaysia) Sdn Bhd

[2019] MELRU 1070

Background

The Claimant was placed on a three-month PIP that required her to complete a large volume of tasks spanning multiple departments. To meet the targets, she was required to work 10 to 12 hours per day on a regular basis, including taking work home after office hours. The workload required inputs from colleagues and line managers based locally and overseas, involving time zone differences that caused unavoidable delays. The tasks assigned to her under the PIP were of a volume that clearly required additional personnel. Despite this, requests for supporting staff were denied. She was terminated at the conclusion of the PIP for failing to meet the targets.

Court Findings

The Industrial Court held that the Claimant was unfairly dismissed. The Court found that the PIP targets were unrealistic given the volume of work, the dependency on third parties beyond the Claimant's control, and the deliberate denial of the support resources that would have been necessary to achieve the targets. The Court applied the established principle that a PIP must be conducted in good faith, which requires the employer to give the employee genuine opportunity to improve with necessary guidance and support. Where the targets are set in a manner that makes success structurally impossible, the PIP cannot be relied upon to justify dismissal.

Key Takeaway for HR Practitioners

PIP targets must be achievable within normal working parameters. If meeting PIP targets requires the employee to work excessive hours, depends on third-party inputs outside the employee's control, or requires resources that the employer deliberately withholds, the Industrial Court will find the PIP was not conducted in good faith.

Risk Flags

Employers must audit PIP targets before issuing them. Targets that are dependent on team inputs, external approvals, or cross-border collaboration must account for realistic lead times and dependencies. Any request by the employee for additional resources during the PIP period must be evaluated genuinely, not dismissed automatically.
